1.

Relevant issues/logical chains of analysis include:

- defining a single market (eg a type of trade bloc which is initially a free trade area for goods for the benefit of member countries)
- examples of single markets other than the EU, eg. Agreement on Internal Trade (AIT) in Canada; European Free Trade Association (EFTA)
- identifying an important distinction between a single market and a customs union: in the latter a common trade policy such as the EU common external tariff
- a type of trade bloc initially concerned with free trade in goods
- free trade in services
- working to remove barriers to further economic integration, eg any remaining physical barriers (borders), fiscal (taxes), with the long-term aim of strengthening general economic relations between members
- liberalisation of financial markets to encourage better flow of investment funds
- common policy on government procurement (any member government obliged to consider submission of bids for government contracts from any member country)
- common technical, safety and health standards for goods which may arise from cooperation on R&D
- links may be established with neighbouring countries, eg EFTA + EU = EEA
- often having a strong commitment to supporting the international (multilateral) trading system as spearheaded by the WTO
- diagrams to help support explanations, eg comparative advantage, but diagrams are unlikely in this part of the answer

[15]

3.

Introduction	• The meaning of inequality • Differences between income and wealth • UK economic performance measures.
Developing the response to the question: **Application**	Drawing on the information in the extracts: • the rich having a lower MPC and a higher MPS and if incomes of the poor increased consumption would increase **(Extract B)** • US economic growth and US being the UK's main export partner **(Extract B)** • Increased income inequality due to reduced union power **(Extract C)** • trickle-down effects improving living standards **(Extract C)** • promoting incentives and wealth generation and focusing on financial services **(Extract C)** • economic progress often depends on saving and innovation **(Extract C)** • UK financial services making short term with profits and lacking long term investment **(Extract C)**
Developing the response to the question: **Analysis**	Arguments how inequality impacts on UK performance: • impacts on consumption and AD • US as the UK's main export market + other export markets • how supply side reforms have affected UK macro-performance • UK's comparative advantage in financial services • increased savings linking to investment • policies impacting on consumption and investment and different income groups • entrepreneurship, "wealth generation" and the free market. • equity vs efficiency arguments • impact on FDI • asset bubbles • UK banking system and the pursuit of long term investment Analysis of each of the UK's four main macro-economic goals or other social goals or current government targets could be included.
Evaluation	• Does inequality in other countries really impact on the UK economy? • The relative amount of inequality • Does the marginal propensity to consume have such a big impact or are there more important considerations (does increased saving by the "top 1%" have such an impact?)

	• The importance of exports and FDI in the economy. • Other considerations such as domestic policy or financial crisis creating bigger impacts. • The relative importance of each macroeconomic performance indicator • Whether Government intervention is necessary for the improvement of the economy and if so in what way?
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

4.

Explanation:

For a relevant explanation of circular flow: eg A model which demonstrates the flow of money between households and firms and going on to explain the role of injections/leakages or linking the circular flow to measures of national income/output /expenditure.
For a diagram of the circular flow

Analysis:

For Example: Increased growth in the US could lead to rising disposable income of US citizens who may increase their spending this may be on UK's goods or services which would lead to increased export earnings for the UK which would increase the output of UK firms and therefore AD of which exports are a component which therefore increases the national income of the UK.
Use of appropriate diagrams, eg a diagram showing increased AD on an AD/AS diagram or increased FDI from overseas increasing both AD and AS
Reference to the UK or other economies.

[9]

6.

Introduction	• Economic growth • The standard of living • The recent global experience.
Developing the response to the question (application and analysis)	• How world economic growth is likely to be achieved • The importance of ensuring that growth is sustainable • Recognition that the impact could be positive or negative in net terms **The UK economy:** • Aggregate demand • Changes to the incentive to invest and the possible impact on such things as productive capacity • Aggregate supply • Inflation • The environment • The ability to sell overseas and hence the impact on exports • Imports • The balance of payments on current account • The prospects for inward/outward FDI • World growth causing changes to wealth creation in the UK • Employment/unemployment • The impact of world commodity prices. **The individual in the UK:** • Trend in average income (income per head) • Distribution of income • A possible sharpening of the "haves and have-nots" distinction • Consumption patterns • The wealth effect associated with rising asset prices in a period of growth • Choice of jobs • Quality of life • Quality of life measures such as the HDI and the "happiness index".

Evaluation	• The extent of world economic growth • World economic growth from what starting point, eg years of stagnation? • The importance of considering where in the world growth is taking place and the bearing this may have on the UK economy • The UK's capability to participate in the growth process and in its rewards • The possibility of the UK economy importing the downside of world growth, eg inflation and a deteriorating environment, without enjoying the benefits, eg more jobs and more spending power • It is easier to measure the economic impact on the individual, ie income per head, than it is to measure changes to the quality of life • What of the individual who has the wrong skills or qualifications to allow occupational mobility or cannot become geographically mobile? • Short term v long term impact for both the individual and the economy • Does the UK economy enjoy higher demand without giving due attention to its supply-side? • Is sufficient attention given to the environment both from the individual's point of view and that of the UK economy? • Whether growth elsewhere is likely to cause net economic benefit or net economic damage to the UK. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

7.

Explanation:

Definition: As there is no single definition for this, any suitable definitions can be credited: eg The ability of an economy to sell goods and services in or to other countries and linking to the theory comparative advantage or in terms of lower costs of production or price/non price competitiveness

Analysis:

For Example: A fall in corporation tax may reduce a firms costs therefore the firms expected profits may rise and improve confidence which may be a catalyst for investment which may increase spending on both human capital and physical capital which may lead to productivity advancements allowing firms to sell goods for cheaper on international markets.
Use of appropriate diagrams, eg AD/AS
Reference to the UK or other economies.

[9]

8.

Introduction	• The nature of public sector debt • The relationship between deficits and debt • The EU and fiscal rules.
Developing the response to the question: **Application**	Drawing on the information in the extracts: • Eurozone recovery slowing **(Extract B)** • Taxation affecting investment **(Extract B)** • Ireland creating conditions to increase lending **(Extract C)** • Crowding out **(Extract C)** • High levels of public debt **(Extract C)** • Significant trade partners **(Extract C)**
Developing the response to the question: **Analysis**	Arguments as to how reduced public sector debt in other economies may effect UK: • methods of reducing public sector debt • equity and different income groups • impact on UK exports/FDI • impact on UK growth (short-run and long-run) • impact on the balance of payments on both current and capital accounts. • impact on employment/unemployment • impact on inflation. • impact on investment and confidence • impact on ratings agencies and bond yields • crowding in/crowding out arguments • standards of living • Keynesian multiplier Consideration of how reduced public sector debt domestically is also worthy of credit.
Evaluation	• How 'impact' is measured and the importance of various macroeconomic performance indicators • The differences between the relationships with each nation ie countries which provide us with net exports possibly having a bigger impact • Consideration of 'at the same time' as being with each other or with the UK • The rate at which debts are being reduced • Consideration of whether Government debt is in fact a problem • Consideration of FDI and how this might be affected

	• Will the private sector actually have more freedom to invest both domestically and abroad with reduced Government intervention • Whether debt reduction causes crowding in or crowding out and the effects on AD. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

9.

Introduction	• The nature of EU single market • Origins of the EU • How 'beneficial' may be measured in terms of macroeconomic performance.
Developing the response to the question: **Application / Analysis**	• Current EU policies regarding freedom of movement of labour/capital/trade etc. • How more EU members may affect growth • How more EU members may affect inflation • How more EU members may affect the balance of payments • How more EU members may affect unemployment • Trade diversion/Trade creation. • Comparative advantage • Extended overseas markets and economies of scale • The impact on inward and outward FDI • The relative size of the economies of the possible entrants. • The effects on other EU members • The implications of immigration • The possibility that these countries may enter the Eurozone. • Short-run and long-run considerations • The UK's current macro-economic performance in context.
Evaluation	• The importance of which countries join and when? • The relative size of say the agricultural sector of the new markets may affect the UK's proportion of CAP • The 'net contributor' argument in terms of EU funding. • Scope for FDI (both inward and outward) • The relative importance of EU institutions to the UK. • The relative effects on each macroeconomic goal being dependant on the UK's position on the trade cycle • The importance of stability • Important current political considerations • Immigration depending on the net migration size • Economic and social impact of further integration. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

10.

Introduction	• Inflation and the types of inflation • The role of the Bank of England • Explanation of the target rate of inflation.
Developing the response to the question: **Application / Analysis**	• Why the UK has inflation targets • The importance of the other macroeconomic goals • How the independent Bank of England has control of the tools to control inflation • The importance of low inflation greasing the wheels of the economy. • Limitations to the use of policy tools • The importance of inflationary expectations • The effects of deflation • Trade-offs in macroeconomic goals • How inflation can affect growth • How inflation can affect the Balance of payments • How inflation can affect unemployment or vice versa • How focusing on other goals may impact on inflation • How the prioritisation may change • How other policies affect inflation • The role of supply side policy in controlling inflation • Short-run vs long-run considerations.
Evaluation	• Whether control of inflation depends on where the economy is operating in the trade cycle • Whether the UK has the ability to control cost push inflation to the same extent as demand pull • How 'independent' is the Bank of England in setting policy • Historical perspectives compared to current economic policies. • The prospects of inflation as opposed to deflation • The effects on the UK when the UK went outside of the target in the past • The relative importance of inflation compared to other goals • Is there an inevitable trade off with unemployment? • Short-run vs long-run considerations. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

12.

For defining/explaining: • Economic growth (short-run or long-run) • Recession • The trade cycle

For Example: An external shock such as the banking crisis which began in 2007 reduced the ability of the financial sector to lend which caused individuals difficulty in gaining credit and therefore causing consumption to fall as consumption is a large component of aggregate demand as AD falls the real national output of the economy falls which could cause a negative multiplier effect and, if real national output falls for 2 successive quarters this is a recession.
Use of diagrams to help support explanations, eg AD/AS or the trade cycle.
Relevant real world examples and/or relevant reference to the UK and/or other economies.

[15]

13.

Introduction	• Economic growth • Living standards/the quality of life • Measurements of living standards.
Developing the response to the question: **Application / Analysis**	• Measuring economic growth • Correlations between growing real GDP per capita and living standards • The change in real GDP per capita as a monetary indicator and the suitability of this for use in judging living standards • Long-run and short−run growth considerations • Inaccuracy and variability in growth rates • HDI/Legatum prosperity index/Misery index/Happy planet index or any other measurement of living standards • Regional differences within countries • Possibilities of increased consumption possibilities • Provision of merit goods/public goods • Pollution and the environment • Inequality issues within countries.
Evaluation	• The sustainability of the growth and consideration of how fast economies are growing • Discussion of the prioritisation of the various factors which make up living standards • Consideration of trade−offs involved in growth • The ability of individuals to move between countries in pursuit of better living standards • Consideration of different economies experiences • Differences between different economic perspectives on welfare provision between different countries and over time • Considering that the judgement of standards of living is highly subjective and different individuals have different opinions on living standards • Exogenous factors beyond the control of the country may impact on living standards for example global warming. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

14.

Introduction	• Deflation • The EU • Macroeconomic performance indicators.
Developing the response to the question: **Application**	Drawing on information in the extracts: • Central banks' ability to respond **(Extract E)** • Eurozone 'one size fits all' vs UK's and others ability to respond **Extract E** • Delaying spending (**Extract F**) • Effects on debtors (**Extract F**) • Effects on tax revenue (**Extract F**) • Reduced production costs/productivity (**Extract F**) • Improving competitiveness (**Extract F**) • Deterring investment (**Extract F**)
Developing the response to the question: **Analysis**	**Arguments as to how deflation in the EU may benefit the UK economy:** • Effects on competitiveness if UK also experiences deflation • Benign inflation due to improved productivity helping growth and maintaining low prices • Long run, sustainable economic growth achieving deflation • UK's low stable inflation causing stability in comparison to deflation • Deflation in other economies may make UK a relative safe haven for firms from abroad considering FDIMicroeconomic effects such as benefits to first time buyers of possible falling house prices. **Consideration of how deflation in the EU may damage the UK economy:** • If EU experiences deflation and UK doesn't then UK may become less competitive in relative terms • EU deflation delaying spending and causing a fall in UK exports • Lack of FDI across the EU due to uncertainty • Damaging tax revenues in the UK which may reduce ability of UK Government to meet targets • Possibility that QE and other policy responses by the ECB and European economies as a result of deflation may give boosts to these economies. • Microeconomic effects such as falling house prices causing negative equity.
Evaluation	• The UK as part of the EU possibly suffering deflation • The duration of deflation having a major impact

	• The cause of deflation being vital to understanding the effects • Benign vs malign arguments • The UK's ability to avoid deflation in comparison to other economies • The relative difficulty of combatting inflation when the causes are external in a globalised economy. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Relevant diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

15.

For defining/explaining

- Globalisation
- Balance of payments on current account
- Trade deficit
- Import controls.

For example: By carrying out supply-side policies such as training and education this would hopefully improve productivity in the domestic market which should improve the potential output per worker which increases the long run productive potential of the economy. This could reduce the general price level which makes domestic goods and services more competitive abroad which may lead to other countries increasing demand for the UK's exports such as financial services in which the UK holds a comparative advantage and if the value of imports remains the same this may reduce the balance of payments on the current account.

Other examples could include: issues such as exchange rate depreciation, expenditure reducing policies or export subsidies.

Use of diagrams to help support explanations, eg LRAS increasing or exchange rate depreciation.

Reference to the UK and/or other economies.

[15]

16.

Introduction	• Globalisation • UK economy • Stakeholders in the economy, households, firms, government and whole economy.
Developing the response to the question: **Application / Analysis**	**Arguments that the UK benefits from globalisation** • Comparative advantage arguments – job creation in financial services • Endowment of factors of production – access to goods and services difficult to produce domestically • Increased choice • Lower costs of consumer goods/cost of semi-finished goods and commodities • Benefits from transfer of technology • Welfare gains in terms of trade • Economies of scale arguments • Benefits of international co-operation • Increased FDI. **Arguments that the UK loses out due to globalisation** • Outsourcing has led to structural unemployment in regions of the UK • Issues surrounding labour migration • Multinational corporations exploiting tax loopholes • Multinational corporations influence over political decisions • More open to economic shocks elsewhere in the world • Potential for imported inflation • Over-dependence on certain markets/possible strategic markets arguments • Lack of control over markets and goods and services • Environmental issues.
Evaluation	• Benefits and costs depend on viewpoint, eg a firm lowering costs may do so at the expense of an individual's job • Globalisation as a source of competition creating more resilience in UK firms • Short-term benefits in comparison to longer term, for example short-term prices may fall but over-reliance could lead to long term losses • Loss of manufacturing could lead to long-run over-dependence on certain economies

	• Comparative advantage is dynamic – eg although the UK may benefit in terms of specialising in financial services now, this may not be forever. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

19.

Introduction	• Definition of inflation • Global experiences of inflation • UK inflation and the scenario of 'worsening inflation' • The balance of payments and its various parts.
Developing the response to the question (application)	• Low inflation for achieving economic stability and sustained growth **Extract B** (lines 2–3) • Reference to energy costs and primary commodity prices **Extract B** (lines 12 & 13) • The brake on hesitant recovery **Extract B** (lines 21 & 22) • The dangers of loose monetary policy in the UK **Extract C** (lines 7–11) • The breeding of 'uncertainty' **Extract C** (line 11) • Disruption to trade and investment flows (**Extract B** lines 19 & 20) • Cost-push inflation • Demand-pull inflation • AD/AS analysis • Balance of payments • Competitiveness.
Analysis	• The notion of 'impact' • Measurement of impact in the context of the balance of payments • World commodity prices increases and the UK import bill • UK competitiveness given the authorities' success or failure in controlling inflation • The impact of imported inflation on future balance of payments' performance • Inflation, the UK exchange rate and the balance of payments • The impact of global inflation on the macroeconomy of other countries and how this will inevitably impact on the UK's balance of payments • Investment flows and the capital account.
Evaluation	• Is the problem in almost every part of the global economy and what, therefore, is the relevance of this to the UK balance of payments? • Is the problem one experienced by the UK's major trading partners? • 'Increasing inflation' but is the deterioration still from low initial levels of inflation? • UK inflation compared to inflation amongst our trading partners • A worsening, but still mild, inflation as a stimulant to the world of business, to investment, and the impact on the capital account • An inflation scenario which still compares favourably to the prospect of deflation for the balance of payment • The severity of any anti-inflation policies pursued by other governments which may impact on global demand for UK goods and services • The impact on the current account of success or failure in UK authorities' attempts to deal with any national problem of inflation. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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20.

Relevant issues/logical chains of analysis include:

- defining exports and/or the multiplier
- explanation of the link between the multiplier and AD/use of an arithmetical example
- explaining export-led multiplier, eg the impact of a growing export sector on other sectors of the economy, for example, as those employed in the export sector spend their incomes on goods and services; those businesses in the export sector demanding machinery and technology from other businesses outside the export sector
- use of relevant diagrams, eg AD/AS
- An improvement in the macroeconomy of the EU to which over half of UK exports are sold. Fiscal policy may loosen in the EU, so that consumers' disposable incomes rise and hence their demand for UK goods and services. Equally, unemployment may fall in the EU allowing average incomes to rise and hence consumer demand for UK exports
- UK productivity increases lowering unit costs
- UK/EU relative inflation rates are favourable to the UK
- Quality of UK goods and services
- The exchange rate of the £ against other currencies
- Changing comparative advantage favouring the UK
- appropriate diagrams, eg AD/AS, comparative advantage

[9]

21.

Introduction	• The budget and budget deficit • The recent UK experience • Short term long-term • The notion of improvement in economic prospects.
Developing the response to the question (application and analysis)	• Short-term gain versus long-term gain • International credit-agency ratings for the UK and their possible significance • Interest rates and quantitative easing − short term benefit, long-term inflation? • The importance of stabilising the economy • Recession in the short term but the possible long-term weakening of the economy • The contrast with the 'Keynesian solution' • Economic growth • Inflation/deflation • Cost-push inflation at a time of 'austerity' creating problems in the long-term • Competitiveness and the balance of payments on current account • Long-term prospects for employment/unemployment • Cyclical and structural unemployment.
Evaluation	• The severity of reductions in the deficit • The period of time over which so-called fiscal austerity lasts • What is reasonable to consider as 'long-term' when referring to 'long-term economic prospects'? • How the budget deficit is achieved • Whether the improvement in long-term prospects fully compensates for short-term problems arising from the reductions in the deficit • Does the alternative 'Keynesian solution' really hold water under scrutiny? • Are international credit ratings really that significant? • Long-term prospects may improve on one measure, eg inflation, but suffer on another measure, eg growth • The possible self-defeating nature of deficit reduction, ie efforts to reduce a deficit can bring about an increase as the economy worsens *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

22.

Introduction	• Reference to the history of the EU • The history of UK membership of the EU • Changing views about membership over time • The nature of the EU, for example, as a customs union/single market • The possible criteria for making a decision.
Developing the response to the question (Application)	• The estimated total cost to UK of membership **Extract E**(lines 4 & 5) • UK Budget contributions **Extract E** (line 6) • The Single European Market **Extract E** (lines 14 & 15) • Foreign direct investment **Extract E** lines (15 & 16) • The EEA **Extract F** (lines 3−5) • The example of Norway as a non-member of the EU **Extract F** • Trade theory • AD • Economic growth
Analysis	• The notion of economic benefit • Economic growth • Employment • Balance of Payments • Exchange rate • Prices • CAP • SEM • CET • The euro • The EEA.
Evaluation	• The uncertainty surrounding the future outside the EU • Whether a comparison with just one other economy (Norway) is helpful • To what extent, if at all, would trade be affected? • Could the UK re-establish former economic links, for example, with the Commonwealth or is this a myth from non-existent halcyon days? • The difficulty of assessing in a truly objective and precise way the various costs and benefits • The possible UK support for membership to foster and maintain economic ties with the EU in contrast to strong opposition to political ties and loss of national sovereignty • The possible changing views about membership as enlargement of the EU continues • Support for membership increasingly tempered by a fear that the UK will become embroiled in the euro crisis financially when the UK is outside the Eurozone • 'Sitting on the fence' has limitations; should the UK fully embrace all aspects of the EU and become 'full Europeans' including adoption of the euro? • The possibility of the UK joining the EEA or even NAFTA instead. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

23.

Introduction	• Exchange rate • Floating exchange rate • Other exchange rate systems • Macroeconomic stability.
Developing the response to the question (application and analysis)	• Automatic adjustment under a floating exchange rate • The significance of automatic adjustment for macroeconomic stability • Interest rates determined by domestic conditions but nevertheless impacting on the exchange rate • Speculation and its impact • Global economic shocks • Economic growth and stability • The exchange rate and prices • The exchange rate and the balance of payments on current account • The exchange rate and employment • A floating exchange rate and business confidence • The possible significance of intervention by the authorities in an era of managed flexibility • Other factors which are more effective in achieving stability
Evaluation	• The likelihood of automatic adjustment occurring efficiently or at all • Whether other conditions potentially able to secure stability can counteract any destabilising effect of a floating exchange rate or will it be vice versa? • The extent of changes to an exchange rate under a floating system • The impact of economic shocks making it very unlikely that stability can be achieved whatever the exchange rate system in operation • The preparedness of a government to intervene to influence an exchange rate in order that macroeconomic stability can be achieved • In reality, how long is ‘a period of macroeconomic stability’ expected to be? • Are changes in an exchange rate, within reason, really relevant to achieving macroeconomic stability? • The need to recognise that a floating exchange rate may help to stabilise one aspect of the macroeconomy, eg prices, but not do a great deal for another aspect, eg economic growth. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

24.

Relevant issues/logical chains of analysis include:

- defining economic shock, eg what maybe an unexpected event or one that at least some had predicted which affects an economy either positively or negatively (it is anticipated that the majority of candidates will see shock in negative terms because of the reference to 'harm' and this should not be penalised. Please make sure that credit is not given where the preamble to the question is simply copied out, ie an economic shock is something which can have significant consequences)
- distinguishing a demand-side shock from a supply-side shock, perhaps with examples, such as the euro crisis, the 'credit crunch'; oil price increase or a natural disaster.
- defining economic growth, eg an increase in real GDP or an increase in productive capacity.
- distinguishing between actual and potential growth
- Supply: A significant increase in global oil prices will impact on an economy having to import most or all of its oil from the international market, causing the SRAS curve to shift to the left. Higher oil prices will lead to higher unit costs and hence higher prices and hence cost-push inflation. The impact of inflation on real incomes will affect AD (1mark). Demands from labour for higher wages will worsen the inflation problem. Inflation will cause an increase in unemployment and eventually cause economic growth to falter so that stagflation becomes a real possibility.
- Supply: A significant increase in prices of primary commodities generally and/or food prices.
- Supply: A major war/significant natural disaster/a series of devastating terrorist attacks around the world in major economies.
- Demand: The severity of the Eurozone crisis
- Demand: An unanticipated and sudden downturn in emerging economies such as India and China.
- Demand: credit crunch/crisis in major financial markets
- any other economic shock explained which potentially harms growth
- diagrams to help support explanations, eg AD/AS showing shifts of AD and/or AS, micro supply and demand diagrams, PPF

[15]

25.

- For a definition of MNCs, eg a corporation or enterprise which manages production or delivers services in more than one country.
- Example(s) of MNCs
- **Explanation:**
  MNCs will be heavily involved in foreign direct investment (FDI) which is investment by companies which have their head offices in other countries. It will strengthen economic links between countries and so further the process of global integration.
  Investment can establish production units in a number of countries and if necessary initiate a modernisation of production processes.
- fostering trade
- spreading technology
- making developing countries aware of the potential benefits of becoming a part of a globalised world
- encouraging migration of labour
- establishing or strengthening supply chains
- any other aspect of MNCs' work relevant to globalization.
- Use of diagrams to help support explanations of globalisation or the role of MNCs, eg MEC, comparative advantage, AD/AS.
- References to the UK and/or other economies

[15]

26. **Issues and areas for discussion include:**

Introduction	• globalisation • developed and developing economies • criteria which underlie an assessment of economic consequences
Developing the response to the question (application and analysis)	• economic growth • labour flows • capital flows • employment/unemployment, eg structural unemployment • balance of payments on current and capital accounts • trade and trade policy, eg exploitation of comparative advantage • MNC policies, eg branch-plant syndrome • deindustrialisation • the way in which the two categories of countries and governments within them respond to the challenges of globalisation if at all • the response of businesses in the two categories of countries, eg productivity, productive efficiency, efficiency-enhancing techniques such as Just-in-Time (JIT) and Total Quality Management (TQM) (examiners please note that these terms are not in the specification) • exploitation • the impact on the distribution of income and/or wealth • impact on living standards of different income groups & regions • use of diagrams • references to the real world.
Evaluation	• the possible error in just comparing two groups of countries when the diversity of experience and development within them is there for all to see • the relative degree of dominance of MNCs in each category and the nature of MNC policies • relative degrees of vulnerability to major global shocks • only conditional judgments are possible because the global economy is far from the end of the process of globalisation • the degree to which national governments will stand up for the national interest, perhaps in a selfish, nationalistic way • resources available to individual national governments to lend support to national businesses • the potential greater flexibility of response of developing countries to changes arising from globalisation • quantifying different costs and benefits may be difficult, eg not being able to determine what part of a country's environmental costs can be attributed to the globalisation process • a final judgment, eg the extent of benefits will vary across economies, the degree of vulnerability perhaps much less so.

	Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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28. **Issues and areas for discussion include**

Introduction	• economic growth • general causes of economic growth • the EU • 'the best hope' in relation to what?
Developing the response to the question (Application)	• economic growth theory • trade cycle and recession • fiscal policy and deficit-reduction policy • application to recent/current events so heavily represented in the media • the EU tumbling back into recession (lines 4–6) • variation in prospects between EU member countries (lines 7–8) • strict fiscal policies in UK and in much of the rest of the EU (lines 20–22) • recovery in the global economy (lines 35–36) • hopes for stabilisation in the eurozone (lines 40–41).
Analysis	• how the EU can help UK GDP growth, eg demand for exports, euro and other currencies strengthening against the pound • stimulus from those EU economies recovering more quickly than others • the EU and the single market • stimulus from other parts of the world, eg the emerging markets • UK supply-side reforms giving a competitive edge in albeit depressed markets • the contribution of domestic demand within the UK, eg if fiscal constraints are relaxed on spending, tax cuts are introduced, consumers begin to show a stronger response to low interest rates • the impact of any increase in domestic wage increases should they occur after a period of restraint • UK private sector beginning to more than compensate for the contraction of the public sector • investment trends in the UK • trends in the exchange rate of the £ against other currencies impacting on UK global exports • use of diagrams • references to the UK and/or other economies.

Evaluation	• whatever growth is seen within the EU, other parts of the world may grow more strongly and offer more opportunities to the UK • the speed of recovery particularly in the eurozone • the persistence/exacerbation of economic problems for the UK should the eurozone begin to break up • whether or not the UK is competitive enough against the emerging markets • greater reliance for growth from within the UK if recovery becomes more rapid, perhaps on the back of a looser fiscal policy, increased consumer and business confidence, a stronger government growth strategy • the dangers of discussing just in terms of eurozone/non-eurozone countries; analysis must be of individual EU economies to assess their potential contribution to UK growth in the future and their past importance to the UK economy • in more stable times, the size of population in the EU, total spending power, and the benefits to the UK of the single market • whatever the UK prospects for growth emanating from the EU, the long term sense of limiting UK reliance on one area of the world and developing stronger links elsewhere • a final judgement on the prospects for the UK *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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30. **Issues and areas for discussion include**

Introduction	• criteria for assessing 'significant strengthening of the economic importance' • identification of one or more MENA economies • the range of economic experience in the MENA economies.
Developing the response to the question (Application)	• comparative advantage • labour productivity • production possibilities • supply of resources from the resource-rich MENA economies (line 6) • opportunities for UK financial services (lines 12-13) • the threat from MENA manufacturing (lines 13-14) • further investment opportunities for UK in the MENA economies (lines 18-20) • the potential significance of free trade agreements between MENA and other economies (lines 24-26) • potential benefits to the UK of higher living standards in MENA countries (lines 27-30).
Analysis	• economic growth • employment and unemployment • balance of payments on current account • supply-side reforms • AD/AS analysis • comparative advantage • further structural change in the UK economy • living standards • direction of investment • use of diagrams • references to the UK and/or other economies.

Evaluation	• 'concern' needs to be measured against opportunities in the MENA economies • continuing political instability in the MENA region may dilute any threats to the UK and any opportunities for the UK in the MENA economies • the inflexibility of the UK economy may mean lost opportunities • if and when importance strengthens, the MENA economies' more powerful negotiating position regarding prices of resources needed by developed countries • MENA economies in relation to other opportunities elsewhere in the global economy • opportunities/threats in the UK domestic economy compared to those presented by the MENA economies • how the UK might compare to other economies with similar aims of gaining a foothold in the MENA economies, eg, the emerging markets • the significance of relative inflation rates between MENA economies and the UK, and between the UK compared to other economies showing interest in the MENA economies • the possible greater impact on the UK and a cause for concern if the UK's major markets, the EU and US, continue to have problems • the threat the MENA economies pose to the UK in established UK markets especially in the long term • a final judgement on the economic consequences. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill..*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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